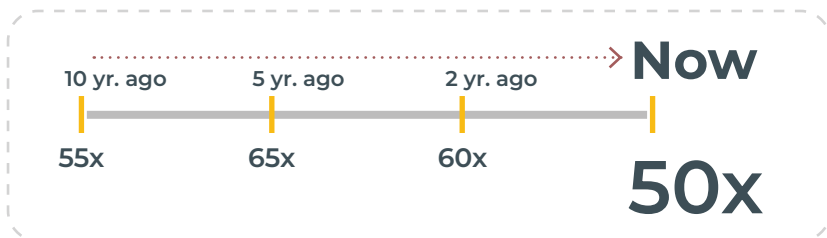


According to the table, the P/E value of 50x in the current year makes Britannia's stock relatively low-priced as compared to previous years.



Similarly, if we compare Britannia with other biscuit-producing companies in USA and China, we observe that these companies are trading at a P/E of 80, and 100. So we can conclude that Britannia is trading relatively cheaper.

Weighted Earnings of all Nifty Companies

Nifty 50 consists of 50 stocks which are then assigned weights. The sum of weights of all the 50 firms comes up to 100%.

Stock	Weights	EPS (Rs.)	Weights x EPS
1	12%	600	50
2	6%	400	24
3	5%	6000	300
4 upto 50	4.5%	91	4
total of all weighted earnings	100		1000

We can get the **Market Value of Nifty** from websites, television, and other sources.

For instance, the market value of Nifty is 17000.

$$\text{Nifty P/E} = \frac{17000}{1000} = 17x$$

This P/E may be obtained from NSE INDIA website for various indexes such as small-cap, midcap indices. If the Nifty P/E rises, it means the stock is more expensive and has a higher valuation, whereas if the ratio falls, it means the stock is less costly and has a lower value. **To make wise investment decisions, we must compare this ratio and see if Nifty is overvalued or undervalued.**